CAC 111 BASIC ACCOUNTING

CONCEPTUAL FRAMEWORK AND GAAP

A **conceptual framework**, in the field we are concerned with, is a statement of generally accepted theoretical principles which form the frame of reference for financial reporting.

These theoretical principles provide the basis for the development of new accounting standards and the evaluation of those already in existence. The financial reporting process is concerned with providing information that is useful in the business and economic decision-making process. Therefore, a conceptual framework will form the **theoretical basis** for determining which events should be accounted for, how they should be measured and how they should be communicated to the user. Although it is theoretical in nature, a conceptual framework for financial reporting has highly practical final aims.

The **danger of not having a conceptual framework** is demonstrated in the way some countries' standards have developed over recent years; standards tend to be produced in a haphazard and fire-fighting approach. Where an agreed framework exists, the standard-setting body act as an architect or designer, rather than a fire-fighter, building accounting rules on the foundation of sound, agreed basic principles.

The lack of a conceptual framework also means that fundamental principles are tackled more than once in different standards, thereby producing **contradictions and inconsistencies** in basic concepts, such as those of prudence and matching. This leads to ambiguity and it affects the true and fair concept of financial reporting.

A conceptual framework can also bolster standard setters **against political pressure** from various 'lobby groups' and interested parties. Such pressure would only prevail if it was acceptable under the conceptual framework.

1.2 Advantages and disadvantages of a conceptual framework

Advantages

(a) The situation is avoided whereby standards are developed on a patchwork basis, where a particular accounting problem is recognized as having emerged, and resources were then channeled into **standardizing accounting practice** in that area, without regard to whether that particular issue was necessarily the most important issue remaining at that time without standardization.

(b) As stated above, the development of certain standards (particularly national standards) have been subject to considerable **political interference** from interested parties. Where there is a conflict of interest between user groups on which policies to choose, policies

deriving from a conceptual framework will be **less open to criticism** that the standard-setter buckled to external pressure.

(c) Some standards may concentrate on **profit or loss** whereas some may concentrate on the **valuation of net assets** (statement of financial position).

Disadvantages

(a) Financial statements are intended for a **variety of users**, and it is not certain that a single conceptual framework can be devised which will suit all users.

(b) Given the diversity of user requirements, there may be a need for a variety of accounting standards, each produced for a **different purpose** (and with different concepts as a basis).

(c) It is not clear that a conceptual framework makes the task of **preparing and then implementing** standards any easier than without a framework.

Before we look at the IASB's attempt to produce a conceptual framework, we need to consider another term of importance to this debate: generally accepted accounting practice; or GAAP.

1.3 Generally Accepted Accounting Practice (GAAP)

GAAP signifies all the rules, from whatever source, which govern accounting. In individual countries this is seen primarily as a **combination** of:

National company law

National accounting standards

Local stock exchange requirements

Although those sources are the basis for the GAAP of individual countries, the concept also includes the effects of **non-mandatory sources** such as:

-International accounting standards

-Statutory requirements in other countries

A **conceptual framework** for financial reporting can be defined as an attempt to codify existing GAAP in order to reappraise current accounting standards and to produce new standards.

2 The IASB's *Conceptual Framework*

The 1989 *Framework for the Preparation and Presentation of Financial Statements* was replaced in 2010 by the *Conceptual Framework for Financial Reporting*. This is the result of a joint project with the FASB.

The IASB *Framework for the Preparation and Presentation of Financial Statements* was produced in 1989 and is gradually being replaced by the new *Conceptual Framework for Financial Reporting*.

The *Conceptual Framework for Financial Reporting* is currently as follows.

Chapter 1: The objective of general-purpose financial reporting Chapter 2:

The reporting entity (to be issued) Chapter 3: Qualitative characteristics of useful financial information Chapter 4: Remaining text of the 1989 Framework:

- Underlying assumption
- The elements of financial statements
- Recognition of the elements of financial statements
- Measurement of the elements of financial statements
- Concepts of capital and capital maintenance

2.1 Introduction

The Introduction to the *Conceptual Framework* points out the fundamental reason why financial statements are produced worldwide, ie to **satisfy the requirements of external users**, but that practice varies due to the individual pressures in each country. These pressures may be social, political, economic or legal, but they result in variations in practice from country to country, including the form of statements, the definition of their component parts (assets, liabilities etc), the criteria for recognition of items and both the scope and disclosure of financial statements.

It is these differences which the IASB wishes to narrow by **harmonising** all aspects of financial statements, including the regulations governing their accounting standards and their preparation and presentation.

The preface emphasises the way **financial statements are used to make economic decisions** and thus financial statements should be prepared to this end. The types of economic decisions for which financial statements are likely to be used include the following.

- Decisions to buy, hold or sell equity investments
- Assessment of management stewardship and accountability
- Assessment of the entity's ability to pay employees
- Assessment of the security of amounts lent to the entity
- Determination of taxation policies
- Determination of distributable profits and dividends
- Inclusion in national income statistics
- Regulations of the activities of entities

Any additional requirements imposed by **national governments** for their own purposes should not affect financial statements produced for the benefit of other users.

2.2 Purpose and status

The introduction gives a list of the purposes of the *Conceptual Framework*:

(a) To assist the Board in the **development of future IFRSs** and in its review of existing IFRSs

(b) To assist the Board in **promoting harmonisation** of regulations, accounting standards and procedures relating to the presentation of financial statements by providing a basis for reducing the number of alternative accounting treatments permitted by IFRSs

c) To assist **national standard-setting bodies** in developing national standards

(d) To assist **preparers of financial statements** in applying IFRSs and in dealing with topics that have yet to form the subject of an IFRS

(e) To assist **auditors** in forming an opinion as to whether financial statements comply with IFRSs

(f) To assist **users of financial statements** in interpreting the information contained in financial statements prepared in compliance with IFRSs

(g) To provide those who are interested in the work of the IASB with **information** about its approach to the formulation of IFRSs

The *Conceptual Framework* is not an IFRS and so does not overrule any individual IFRS. In the (rare) case of conflict between an IFRS and the *Conceptual Framework*, the **IFRS will prevail**.

2.2.1 Scope

The *Conceptual Framework* deals with:

(a) The **objective** of financial statements

(b) The **qualitative characteristics** that determine the usefulness of information in financial statements

(c) The **definition, recognition and measurement** of the elements from which financial statements are constructed

(d) Concepts of **capital and capital maintenance**

2.2.2 Users and their information needs

Users of accounting information consist of investors, employees, lenders, suppliers and other trade creditors, customers, government and their agencies and the public. You should be able to remember enough to do the following exercise.

Consider the information needs of the users of financial information listed above.

(a) **Investors** are the providers of risk capital,

(i) Information is required to help make a decision about buying or selling shares, taking up a rights issue and voting.

(ii) Investors must have information about the level of dividend, past, present and future and any changes in share price.

(iii) Investors will also need to know whether the management has been running the company efficiently.

(iv) As well as the position indicated by the statement of profit or loss and other comprehensive
income, statement of financial position and earnings per share (EPS), investors will want to know about the liquidity position of the company, the company's future prospects, and how the company's shares compare with those of its competitors.

(b) **Employees** need information about the security of employment and future prospects for jobs in the company, and to help with collective pay bargaining.

(c) **Lenders** need information to help them decide whether to lend to a company. They will also need to check that the value of any security remains adequate, that the interest repayments are secure, that the cash is available for redemption at the appropriate time and that any financial restrictions (such as maximum debt/equity ratios) have not been breached.

(d) **Suppliers** need to know whether the company will be a good customer and pay its debts.

e) **Customers** need to know whether the company will be able to continue producing and supplying goods.

(f) **Government's** interest in a company may be one of creditor or customer, as well as being
specifically concerned with compliance with tax and company law, ability to pay tax and the general contribution of the company to the economy.

(g) The **public** at large would wish to have information for all the reasons mentioned above, but it could be suggested that it would be impossible to provide general purpose accounting information which was specifically designed for the needs of the public.

3 The objective of general-purpose financial reporting

The *Conceptual Framework* states that:

> 'The objective of general purpose financial reporting is to provide information about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making
> decisions about providing resources to the entity.'

These users need information about:

- The **economic resources of the entity**
- The **claims against the entity**
- Changes in the entity's **economic resources and claims**

Information about the entity's **economic resources and the claims against it** helps users to assess the entity's liquidity and solvency and its likely needs for additional financing.

Information about a reporting entity's financial performance (the **changes in its economic resources and claims**) helps users to understand the return that the entity has produced on its economic resources. This is an indicator of how efficiently and effectively management has used the resources of the entity and is helpful in predicting future returns.

The *Conceptual Framework* makes it clear that this information should be prepared on an **accruals basis**.

Accruals basis. The effects of transactions and other events are recognised when they occur (and not as cash or its equivalent is received or paid) and they are recorded in the accounting records and reported in the financial statements of the periods to which they relate.

Financial statements prepared under the accruals basis show users past transactions involving cash and also obligations to pay cash in the future and resources which represent cash to be received in the future.

Information about a reporting entity's cash flows during a period also helps users assess the entity's **ability to generate future net cash inflows** and gives users a better understanding of its operations.

4 Underlying assumption

Going concern is the underlying assumption in preparing financial statements.

4.1 Going concern

Going concern. The entity is normally viewed as a going concern, that is, as continuing in operation for the foreseeable future. It is assumed that the entity has neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations. *(Conceptual Framework)*

It is assumed that the entity has no intention to liquidate or curtail major operations. If it did, then the financial statements would be prepared on a **different (disclosed) basis**.

5 Qualitative characteristics of useful financial information

The *Conceptual Framework* states that qualitative characteristics are the attributes that make financial information useful to users.

Chapter 3 of the *Conceptual Framework* distinguishes between **fundamental** and **enhancing** qualitative characteristics, for analysis purposes. Fundamental qualitative

characteristics distinguish useful financial reporting information from information that is not useful or misleading. Enhancing qualitative characteristics distinguish more useful information from less useful information.

The two fundamental qualitative characteristics are **relevance** and **faithful representation**.

5.1 Relevance

Relevance. Relevant information is capable of making a difference in the decisions made by users. It is capable of making a difference in decisions if it has **predictive value**, **confirmatory value** or both.

(Conceptual Framework)

The relevance of information is affected by its **nature** and its **materiality**.

Materiality. Information is material if omitting it or misstating it could influence decisions that users make
on the basis of financial information about a specific reporting entity. *(Conceptual Framework)*

5.2 Faithful representation

Faithful representation. Financial reports represent **economic phenomena** in words and numbers. To be useful, financial information must not only represent relevant phenomena but must **faithfully represent** the phenomena that it purports to represent. *(Conceptual Framework)*

To be a faithful representation information must be **complete, neutral** and **free from error**.

A **complete** depiction includes all information necessary for a user to understand the phenomenon being depicted, including all necessary descriptions and explanations.

A **neutral** depiction is without bias in the selection or presentation of financial information. This means that information must not be manipulated in any way in order to influence the decisions of users.

Free from error means there are no errors or omissions in the description of the phenomenon and no errors made in the process by which the financial information was produced. It does not mean that no inaccuracies can arise, particularly where estimates have to be made.

5.2.1 Substance over form

This is **not a separate qualitative characteristic** under the *Conceptual Framework*. The IASB says that to do so would be redundant because it is **implied in faithful representation**. Faithful representation of a transaction is only possible if it is accounted for according to its **substance and economic reality**.

5.3 Enhancing qualitative characteristics

5.3.1 Comparability

Comparability. Comparability is the qualitative characteristic that enables users to identify and understand similarities in, and differences among, items. Information about a reporting entity is more useful if it can be compared with similar information about other entities and with similar information about the same entity for another period or date. *(Conceptual Framework)*

Consistency, although related to comparability, **is not the same**. It refers to the use of the same methods for the same items (ie consistency of treatment) either from period to period within a reporting entity or in a single period across entities.

The **disclosure of accounting policies** is particularly important here. Users must be able to distinguish between different accounting policies in order to be able to make a valid comparison of similar items in the accounts of different entities.

When an entity **changes an accounting policy**, the change is applied retrospectively so that the results from one period to the next can still be usefully compared.

Comparability is **not the same as uniformity**. Entities should change accounting policies if those policies become inappropriate.

Corresponding information for preceding periods should be shown to enable comparison over time.

5.3.2 Verifiability

Verifiability. Verifiability helps assure users that information faithfully represents the economic phenomena it purports to represent. It means that different knowledgeable and independent observers could reach consensus that a particular depiction is a faithful representation. *(Conceptual Framework)*

Information that can be independently verified is generally more decision-useful than information that cannot.

5.3.3 Timeliness

Timeliness. Timeliness means having information available to decision-makers in time to be capable of influencing their decisions. Generally, the older information is the less useful it is. *(Conceptual Framework)*

Information may become less useful if there is a delay in reporting it. There is a **balance between timeliness and the provision of reliable information**.

If information is reported on a timely basis when not all aspects of the transaction are known, it may not be complete or free from error.

Conversely, if every detail of a transaction is known, it may be too late to publish the information because it has become irrelevant. The overriding consideration is how best to satisfy the economic decision-making needs of the users.

5.3.4 Understandability

Understandability. Classifying, characterising and presenting information clearly and concisely makes it understandable. *(Conceptual Framework*)

Financial reports are prepared for users who have a **reasonable knowledge of business and economic activities** and who review and analyse the information diligently. Some phenomena are inherently complex and cannot be made easy to understand.
Excluding information on those phenomena might make the information easier to understand, but without it those reports would be incomplete and therefore misleading. Therefore matters should not be left out of financial statements simply due to their difficulty as even well-informed and diligent users may sometimes need the aid of an advisor to understand information about complex economic phenomena.

The cost constraint on useful financial reporting
This is a pervasive constraint, not a qualitative characteristic. When information is provided, its benefits must exceed the costs of obtaining and presenting it. This is a **subjective area** and there are other difficulties: others, not the intended users, may gain a benefit; also the cost may be paid by someone other than the users. It is therefore difficult to apply a cost-benefit analysis, but preparers and users should be aware of the constraint.

Fair presentation and compliance with IFRS

Most importantly, financial statements should **present fairly** the financial position, financial performance and cash flows of an entity. **Compliance with IFRS** is presumed to result in financial statements that achieve a fair presentation.

IAS 1 stipulates that financial statements shall present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of
transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the *Conceptual Framework.*

The following points made by IAS 1 expand on this principle.

(a) **Compliance with IFRS** should be disclosed

(b) **All relevant IFRS** must be followed if compliance with IFRS is disclosed

(c) Use of an **inappropriate accounting treatment** cannot be rectified either by disclosure of accounting policies or notes/explanatory material

IAS 1 states what is required for a fair presentation.

(a) Selection and application of accounting policies

(b) Presentation of information in a manner which provides relevant, reliable, comparable and understandable information

(c) Additional disclosures where required

Principles, concepts and conventions underlying the preparation of accounting statements

Accounting Principles

Obviously, if each business organization conveys its information in its own way, we will have a babel of unusable financial data.

Personal systems of accounting may have worked in the days when most companies were owned by sole proprietors or partners, but they do not anymore, in this era of joint stock companies. These companies have thousands of stakeholders who have invested millions, and they need a uniform, standardized system of accounting by which companies can be compared on the basis of their performance and value.

Therefore, **accounting principles based on certain concepts, convention,** and tradition have been evolved by accounting authorities and regulators and are followed internationally.

These principles, which serve as the rules for accounting for financial transactions and preparing financial statements, are known as the **"Generally Accepted Accounting Principles," or GAAP.** The application of the principles by accountants ensures that financial statements are both informative and reliable.

It ensures that common practices and conventions are followed, and that the common rules and procedures are complied with. This observance of accounting principles has helped developed a widely understood grammar and vocabulary for recording financial statements.

However, it should be said that just as there may be variations in the usage of a language by two people living in two continents, there may be minor differences in the application of accounting rules and procedures depending on the accountant.

For example, two accountants may choose two equally correct methods for recording a particular transaction based on their own professional judgment and knowledge.

Accounting principles are accepted as such if they are (1) objective; (2) usable in practical situations; (3) reliable; (4) feasible (they can be applied without incurring high costs); and (5) comprehensible to those with a basic knowledge of finance.

Accounting principles involve both accounting concepts and accounting conventions as explained below.

Accounting Concepts for Preparing Financial Statements

Accounting concepts and conventions as used in accountancy are the rules and principles applied when recording economic events and in the preparation of financial statements, that all accountants abide by. Some of the fundamental accounting concepts that will be discussed are the accruals, matching, and prudence, going concern and consistency concepts.

1. Money measurement concept – Accounting normally deals with only those items that are capable of being expressed in monetary terms. Money has the advantage that it is a useful common denominator with which to express the wide variety of recourse's held by a business. However, not all such resources are capable of being measured in monetary terms and so will be excluded from a balance sheet. The money measurement concept, thus, limits the scope of accounting reports.

2. Historic Cost Concept – Assets are shown on the balance at a value that is based on their historic cost (that is, acquisition cost). This method of measuring asset value has been adopted by accountants in preference to methods based on some form of current value. Many commentators find this particular convection difficult to support as outdated historic cost are unlikely to help in the assessment of current financial position. It is often argued that recording assets at their current value would provide a more realistic view of financial position and would be relevant for a wide range of decisions. However, a system of measurement based on current values can present a number of problems.

3. Going concern concept – The going concern concept holds that a business will continue operations for the foreseeable future. In other words, there is no intention or need to sell off the assets of the business. Such a sale may arise when the business is in financial difficulties and it needs cash to the creditors. This convention is important because the value of fixed assets on sale is often low in relation to the recorded values, and an expectation of having to sell off the assets would mean that anticipated losses on sale should be fully recorded. However, where there is no expectation of the need to sell off the assets, the value of fixed assets can continue to be shown at their recorded values (that is, based on historic cost). This concept, therefore, provides support for the historic cost concept under normal circumstances

4. Business entity concept – For accounting purposes, the business and its owner(s) are treated as quite separate and distinct. This is why owners are treated as being claimants against their own business in respect of their investment in the business. In the business entity concept must

be distinguished from the legal position that may exist between businesses and their owners. For sole.

proprietorship and partnerships, the law does not make any distinction between the business and its owner(s). F or limited companies, on the other hand, there is a clear legal distinction the business and its owners. For accounting purposes, these legal distinctions are irrelevant and the business entity convention applies to all businesses.

5. Dual aspect concept – Each transaction has two aspects, both of which will affect the balance sheet. Thus, the purchase of a motor car for cash results in an increase in one asset (motor car) and a decrease in another (cash). The repayment of a loan results in the decrease in liability (loan) and the decrease in asset (cash/bank)

6. Prudence – The prudence concept holds that financial statements should err on the side of caution.

The concept evolved to counteract the excessive optimism of some managers and owners, which resulted, in the past, in an overstatement of financial position. Operation of the prudence concept results in the recording of both actual and anticipated losses in full, whereas profits are not recognized until they are realized (that is, there is reasonable certainty that the profit will be received). When the prudence concept conflicts with another concept, it is prudence concept that will normally prevail.

7. Stable monetary unit concept – The stable monetary unit concept or consistency concept holds that money, which is the unit of measurement in accounting, will not change in value over time. The consistency is concept is also of vital importance for businesses. The consistency concept dictates that there should be 'consistency of accounting treatment of like items within each accounting period and from one period to the next'. For example, deprecation should be calculated the same way for every financial year and the purchase of certain tools and equipment should also be treated as fixed assets in subsequent years. This is to ensure meaningful comparisons can be made between different accounting periods and limit the possibility of misrepresentation.

8. **Objectivity concept** – The objectivity concept seeks to reduce personal bias in financial statements. As far as possible, financial statements should be based on objective, verifiable evidence rather than matters of opinion.

9. **Separate determination concept** – The separate determination concept refers to in determining the aggregate amount of each asset or liability, the amount of each individual asset or a liability should be determined separately from all other assets and liabilities.

10. Substance concept – The substance over form holds if legal form of the transaction differs from its real substance, accounting should show the transaction in accordance with its real substance,i.e., how the transaction affects the economic situation of the business.

Accounting Conventions

There are four main conventions in practice in accounting: conservatism; consistency; full disclosure; and materiality.

1. **Conservatism** is the convention by which, when two values of a transaction are available, the lower-value transaction is recorded. By this convention, profit should never be overestimated, and there should always be a provision for losses.
2. **Consistency** prescribes the use of the same accounting principles from one period of an accounting cycle to the next, so that the same standards are applied to calculate profit and loss.
3. **Materiality** means that all material facts should be recorded in accounting. Accountants should record important data and leave out insignificant information.
4. **Full disclosure** entails the revelation of all information, both favourable and detrimental to a business enterprise, and which are of material value to creditors and debtors.